

Chapter 3 Sources of Financing

Let's Start

1 Financing decision

2

(a) Borrowing from friends or relatives	✓
(b) Borrowing from banks or financial institutions	✓
(c) Issuing common stock	
(d) Issuing bonds	

Check Your Progress

- P3-1** (a) Issuing common stock and accrued expenses
(b) Issuing bonds, bank loans and accrued expenses
(c) Bank loans and accrued expenses

- P3-2** (a) F Long-term financing is less risky than short-term financing.
(b) T
(c) F Short-term financing is cheaper than long-term financing.
(d) T

- P3-3** (a) Short-term financing
(b) Long-term financing
(c) Short-term financing
(d) Long-term financing

- P3-4** (a) Debt financing
(b) Equity financing
(c) Debt financing
(d) Equity financing

- P3-5** (a) T
(b) F Debt financing is riskier than equity financing as the former creates an additional financial burden for the company, but the latter does not.
(c) T
(d) F Sole proprietorships and partnerships can also use equity financing. For example, the owner of proprietorships may inject capital into their firms; Partnerships may raise capital by admitting new partners.

- P3-6** (a) Internal financing
(b) Internal financing
(c) External financing
(d) External financing
- P3-7** (a) Long-term financing; Equity financing; External financing
(b) Long-term financing; Debt financing; External financing
(c) Short-term financing; Debt financing; External financing
(d) Short-term financing; Debt financing; External financing

Let's Try

T3-1 Free answer

T3-2 Other factors that may affect a firm's risk of bankruptcy include the industry's prospects, economic conditions, the firm's management, profitability and liquidity.
(Any other reasonable answers)

Case Study p.17

- 1** The lesson is that no matter how famous a company is or how high its bond rating is, investors should pay attention to the company's financial risks. Risk is involved in every investment and the interest and principal repayments of bonds are not guaranteed (in some special occasions).
- 2** Advantages of using equity financing instead of debt financing for GM:
 - It would be less risky for GM to use equity financing, because it need not share profits with its shareholders regularly or repay its shareholders. However, since GM raised capital through bonds, it had to pay interest periodically and repay the principal at maturity. This put an additional financial burden on the company especially during the financial tsunami in 2008.
 - Since GM had a high risk of default, it would have to pay a high interest or offer valuable assets as collateral, such as a warehouse or a factory when taking out a loan. Its loan application might even be rejected. Meanwhile, collateral is not required for equity financing.

Case Study p.24

- 1** Raising capital through bonds puts an additional financial burden on a company as it has to pay interest periodically and repay the principal at maturity regardless of whether it makes a profit. If had relied heavily on debt financing, it would not be sensible for the company to obtain more debt.

2 Advantages for Alibaba of raising capital for acquisitions using bonds instead of retained profits:

- Retained profits are normally a more limited source of capital. Alibaba can raise a greater amount of capital by issuing bonds for acquisitions, which tend to require a greater amount of funds.
- Alibaba's managers are more prudent about decision making as they have to evaluate investment projects carefully before they can obtain approval from stockholders to issue debt securities. On the other hand, as managers can use the retained profits without stockholders' approval, they may be less careful in evaluating investment projects and even waste money on unprofitable projects.

Case Study p.25

1 Given that PCCW was then a newly formed company, it was impossible for the combined company to generate sufficient cash to repay the US\$12 billion in short-term loans in one year. It had to seek refinancing opportunities before the loans became due. However, both the availability and cost of financing were uncertain after one year. Therefore, it was very risky for PCCW to finance the merger, which is a long-term project, with short-term financing. It should have used long-term financing instead.

2 Advantages for PCCW of raising capital for the merger with shares instead of bank loans:

- If its stock price had not slumped, the combined company should have been able to refinance part of the US\$12 billion in short-term loans by equity financing. This could have significantly reduced the company's interest burden.
- Due to the poor business forecast for the IT sector after the slump in prices of dot-com stocks as well as the heavy indebtedness of the company, it was unlikely that banks would lend it much money.

Answers to Assessment

Short Questions

3.1 (a) Gearing ratio = $(15 - 8 + 6) \div (15 - 8 + 25) \times 100\%$
 $= 40.63\%$

1 mark

1 mark

(b) The company may use the following financing methods to lower its gearing ratio:

- Issuing common stock 1 mark
- Retained profits 1 mark

3.2 Advantages of external financing over internal financing:

- Managers are more prudent about decision making as they have to evaluate investment projects carefully. 2 marks
- Greater amount of capital can be raised. 2 marks

- 3.3** Advantages of debt financing over equity financing:
- Owners' control is unaffected as creditors do not have voting rights at annual general meetings. 2 marks
 - Less costly because investors demand a lower rate of return and interest expense is tax deductible. 2 marks
- 3.4** It is less costly to obtain funds through bond issuance than common stock issuance because:
- Bond investment is generally considered less risky than stock investment. Therefore, investors would demand a lower return for bonds than common stock. 2 marks
 - Interest expense is tax deductible, but dividends are not. 2 marks
- 3.5** Problems of financing the construction project with a short-term bank loan for the theme park:
- The theme park is unlikely to generate sufficient cash flows over the short term to pay for the fixed assets involved in the construction project. 2 marks
 - Since both the availability of financing and the interest rate are uncertain at the time of refinancing, it is riskier for the theme park to use short-term financing as frequent refinancing is needed. 2 marks
- 3.6** Equity financing 1 mark
- Since equity financing does not involve interest costs and has no maturity, it does not put an additional financial burden onto the company. Hence, it is less risky. 2 marks
 - Collateral is not required for equity financing. 2 marks

Essay Questions

- 3.7** (a) The manpower planning process that the sushi restaurant chain will go through during its expansion:
- Step 1: Forecasting manpower demand
The sushi restaurant chain forecasts its manpower demand based on its organisational goals (i.e., expansion by opening 20 more branches). This involves forecasting the quantity (number) and quality (types) of employees it needs for the new branches.
 - Step 2: Assessing manpower supply
The sushi restaurant chain estimates the size and quality of present and potential manpower available from within and outside the company. For example, it may assess the supply of internal candidates based on its staff turnover rate. If the rate increases, this means the supply of internal candidates will decrease.
 - Step 3: Comparing manpower demand and supply
The sushi restaurant chain compares the manpower demand and supply. It may identify a manpower shortage if the manpower demand is greater than the manpower supply.

- **Step 4: Developing action plans and following up**
After identifying a manpower shortage, the sushi restaurant chain develops an action plan to acquire the needed manpower. For example, it may recruit new employees for the new branches through permanent hires. It should also make plans for relevant recruitment and selection activities as well as training and development activities.

(2 marks for each step in the correct sequence, maximum 8 marks)

(Any other reasonable examples)

- (b) The sushi restaurant chain should consider the following factors when choosing between debt and equity financing:

- **Risk:** If the sushi restaurant chain has a high risk of bankruptcy, it should choose equity financing instead of debt financing. Since debt financing usually involves interest costs and has a maturity, this puts an additional financial burden on the company. However, since equity financing does not involve interest cost and has no maturity, it does not create an additional financial burden for the company.
- **Control:** If the existing owners of the sushi restaurant chain want to maintain a high degree of control over the company, debt financing instead of equity financing should be chosen. For example, if the sushi restaurant chain issues new common stock, new common stockholders can affect the decisions of the company by exercising their voting rights at annual general meetings. Therefore, equity financing may reduce owners' control over the company. However, since creditors do not have the right to vote on company decisions at annual general meetings, debt financing does not affect owners' control over the company.
- **Cost:** If the sushi restaurant chain prefers a cheaper source of capital, it should choose debt financing instead of equity financing. Suppose the sushi restaurant chain is choosing between issuing bonds or new common stock. Since investors usually demand a lower return from bonds than common stocks, and interest expenses are tax deductible while dividends are not, the cost of debt financing is lower than that of equity financing.
- **Collateral:** If the sushi restaurant chain does not have assets to offer as collateral, it should choose equity financing instead of debt financing. This is because when a company takes out a huge loan or has a high risk of default, it may have to offer valuable assets as collateral, such as a warehouse or a factory. Meanwhile, collateral is not required for equity financing.

(1 mark for the factor and 2 marks for the explanation/example, maximum 10 marks)

(Any other reasonable answers)

- 3.8** (a) The steps that the garment manufacturer would go through when purchasing textile machines include:

- **General need description and product specification:** The garment manufacturer prepares a general need description to indicate the general characteristics and quantity of the textile machines it wants to buy. It also develops a technical product specification which states the technical and functional characteristics of the textile machines, such as their spinning speed and durability.

- **Supplier search and inviting proposals:** The garment manufacturer searches for suitable textile machine suppliers. It then informs potential suppliers about its purchase intention and invites them to submit proposals.
- **Supplier selection and order-routine specification:** The garment manufacturer reviews the proposals submitted by potential suppliers and selects the most suitable one(s). After that, it will prepare the relevant order-routine specification, which includes the final order with the selected supplier(s) and states important order details such as the expected time of delivery.
- **Performance review:** After using the new textile machines for production, the garment manufacturer conducts a performance review of the machine supplier(s). For example, it may approach customers to see if they are satisfied with the textile it produces.

(2 marks for each relevant step)

(Any other reasonable examples)

Teachers' guide

Students need not include the first step in the decision-making process of business buyers (i.e., problem recognition) in their answers, as the garment manufacturer has already recognised its need to replace worn-out textile machines with new ones.

(b) Factors that the garment manufacturer should consider when choosing between long-term and short-term financing include:

- **Cost:** If the garment manufacturer prefers a cheaper source of capital, it should choose short-term financing instead of long-term financing. This is because short-term financing is normally cheaper than long-term financing (e.g., the interest rate on short-term bank loans is usually lower than that on long-term bank loans).
- **Risk:** If the garment manufacturer needs a more stable or less risky source of capital, it should choose long-term financing instead of short-term financing. For example, since the availability of financing and the interest rate are uncertain at the time of refinancing, companies face a refinancing risk when taking out loans. If the manufacturer uses short-term financing, it will face a greater refinancing risk as frequent refinancing is needed.
- **Flexibility:** If the garment manufacturer wants to enjoy greater flexibility, it should choose short-term financing instead of long-term financing. This is because the manufacturer can adjust the amount of capital raised according to short-term needs. However, if the manufacturer uses long-term financing, it still has to pay the financing costs for funds even if the funds are no longer needed.
- **Purpose of funds:** If the funds are used for short-term funding needs (e.g., purchasing inventory), the garment manufacturer should choose short-term financing. However, if capital is raised to finance fixed assets (e.g., purchasing machinery), the manufacturer should choose long-term financing. This is because the manufacturer is unlikely to generate sufficient cash flows over the short term to pay for the fixed assets. Also, it would not need to refinance frequently.

(1 mark for each factor and 2 marks for the explanation/example, maximum 10 marks)

(Any other reasonable answers)

- 3.9** (a) Customer relationship management (CRM) refers to the overall process of building and maintaining profitable customer relationships through the delivery of superior value and satisfaction to customers.

2 marks

The importance of CRM is explained as follows:

- Allowing effective market segmentation and targeting: By carefully analysing the data collected through CRM, the fast fashion chain can better understand its customers' buying habits, preferences and spending details. This allows the chain to (i) divide customers into different segments effectively; and (ii) better identify its target customers and design a suitable marketing mix to serve them.

For example, the fast fashion chain can segment its market and choose its target market effectively based on the spending amounts of individual customers from different age groups.

- Tailoring goods and services for each customer: By collecting detailed customer information through CRM, the fast fashion chain can tailor its goods and services for individual customers based on their needs and preferences. This helps enhance customer satisfaction and thus customer loyalty. As a result, the company can gain more cross-selling and upselling opportunities.

For example, the fast fashion chain can collect customers' preferences for outfit style and provide personalised outfit recommendations when they shop online. This helps promote the sales of other products.

- Assessing the cost of serving individual customers accurately: With CRM, the fast fashion chain can assess the customer lifetime value of individual customers and estimate the cost of serving each of them. It can then use its limited marketing resources more effectively and minimise the cost of serving existing customers.

For example, the fast fashion chain can assess the customer lifetime value of each business customer and focuses its resources on serving those with higher financial contributions.

- Communicating with customers and collecting feedback continuously: Using information from a customer database, the fast fashion chain can communicate with individual customers continuously. It can send promotional messages and collect feedback. This helps the company develop long-term relationships with its customers.

For example, the fast fashion chain can send its digital catalogue to its customers every season and inform them about the company's new products.

(1 marks for each point and 2 marks for the explanation/example, maximum 6 marks)
(Any other reasonable examples)

- (b) The fast fashion chain should consider the following factors when selecting between internal and external financing methods:

- Flexibility: If the fast fashion chain wants to enjoy greater flexibility, it should choose internal financing instead of external financing. This is because retained profits can be used anytime without the need to gain approval. On the other hand, the fast fashion chain has less flexibility in using external financing as it often involves certain procedures. For example, it must obtain approval from stockholders and comply with regulations before issuing debt securities or equity securities.

- **Cost:** If the fast fashion chain prefers a cheaper source of capital, it should choose internal financing instead of external financing. This is because external financing often involves transaction costs (e.g., issuing securities involves floatation costs such as service fees to investment banks and accounting firms). Also, external financing may involve interest expenses, while internal financing does not involve any transaction costs or interest expense. Therefore, internal financing is less costly than external financing.
- **Effects on decision making:** The choice of internal or external financing affects the fast fashion chain's freedom and therefore prudence in decision making. Since internal financing does not require approval from external parties, the fast fashion chain will have greater freedom in decision making if it chooses internal financing. However, managers may be less careful in evaluating investment projects and may waste money on unprofitable projects if they can use internal financing without stockholders' approval.
Meanwhile, external financing would reduce the fast fashion chain's freedom in decision making because it may have to obtain stockholders' approval and disclose to investors its purpose for raising capital. Nevertheless, this results in more prudent decision making as managers must evaluate investment projects carefully.
- **Amount of capital raised:** If the fast fashion chain needs to raise a great amount of capital, it should choose external financing instead of internal financing. Since the amount of capital raised by internal financing is constrained by retained profits, the amount raised by internal financing is normally more limited than that by external financing.

(1 mark for each factor and 2 marks for the explanation, maximum 10 marks)

Case Analysis

3.10 (a) LARP Arena may use the following sources of funds to finance its expansion plan:

Source of funds	Disadvantages
Long-term bank loan	• Creates an additional financial burden for the company: LARP Arena needs to pay interest periodically and repay the principal at maturity whether it makes a profit or not. • Less flexible: LARP Arena still has to pay for the financing cost for the funds even if it no longer needs the funds.
Inviting new partners to join the partnership	Reduces the control of existing partners over LARP Arena
Self-financing	Only a limited amount of capital can be raised
Setting up a private limited company	Involves complicated set-up procedures, high set-up cost and a higher profit tax

(1 mark for the source of funds and 1 mark for the disadvantage, maximum 6 marks)

(Any other reasonable answers)

(b) Channel differentiation

1 mark

For example, LARP Arena may work with a high-end hotel to launch a themed staycation experience, in which hotel guests can enjoy immersive detective game experiences in various venues at the hotel.

1 mark

(Any other reasonable answers)

(c) Advantages for LARP Arena of using e-marketing promotion strategies to promote its new service include:

- More cost effective: LARP Arena can use many inexpensive and innovative online promotional means to promote the new service to their target consumers. They can also easily measure the effectiveness of their promotion.
- More interaction with customers: LARP Arena can interact with customers more often through online means. This allows it to collect customers' feedback and enhance customer relationships more easily.
- Can tailor promotional messages: LARP Arena can tailor promotional messages for individual customers based on their purchase records. It can thus easily cross-sell services to customers.

Any two

2 marks each

(d) Risk management strategies that LARP Arena may use to manage each of the risks mentioned in the case:

Risk mentioned in the case	Risk management strategies
Risk involved in expansion	• Risk avoidance: LARP Arena may give up the expansion plan if it finds the plan too risky. • Risk reduction: LARP Arena may avoid opening new locations in areas which competitors cluster around. • Risk assumption: LARP Arena may set aside an amount of money to cover the losses from expansion. (Any of the above)
Risk of damage to or loss of props and costumes	• Risk assumption: LARP Arena may set aside an amount of money to cover the losses from lost or damaged props and costumes. • Risk reduction: LARP Arena may remind its staff members and customers to handle the props and costumes with care and not to take away any of its property. • Risk transfer: LARP Arena may include an indemnity clause in its service terms and conditions, stating that if its property is found to be lost or damaged during the game experience, reimbursement in full cost must be made by the participant. (Any of the above)

(2 marks for each strategy and example, maximum 4 marks)

(Any other reasonable examples)

- 3.11** (a) Soup To Go should accept the project since the project's payback period (2.7 years) is less than the company's maximum payback period allowed (3 years). 2 marks
- (b) (i) Reasons why Soup To Go should consider using financing methods other than borrowing from banks are as follows:
- Borrowing from banks puts an additional financial burden on Soup To Go as it has to pay interest periodically and repay the principal at maturity regardless of whether it makes a profit. Given Soup To Go's higher-than-industry-average gearing ratio, it is not sensible for the company to obtain more debt.
 - Given Soup To Go's higher-than-industry-average gearing ratio, the company may have to pay a high interest cost in order to obtain bank loans; the company's loan application may also be rejected.
 - If Soup To Go takes out a huge loan or has a high risk of default, it may need to provide valuable assets as collateral. If it fails to repay the loan, the collateral will be forfeited and become the property of the lender. Any two
2 marks each
- (ii) Equity financing 1 mark
- Disadvantages of this type of financing include:
- Existing owners' control decreases as new shareholders can affect the firm's decision making. 2 marks
 - Costlier than debt financing because dividends are not tax-deductible. Also, investors usually require a greater return on common stock than on bonds. 2 marks
- Or
- External financing 1 mark
- Disadvantages of this type of financing include:
- Less flexible than internal financing as it often involves certain procedures. 2 marks
 - Less freedom in decision making than internal financing as new stockholders may affect the firm's decision making. 2 marks
- (c) Customer management organisation 1 mark
- (d) Advantages of using customer management organisation for Soup To Go:
- Soup To Go can better cater for the needs of different customer groups. 2 marks
 - Soup To Go can establish a closer relationship with each group. 2 marks
- (Any other reasonable answers)

- 3.12** (a) Advantages of recruiting employees through a job fair for Pearl Airlines include:
- Cost effective and time saving: This method saves the airline costs and time in placing advertisements and arranging interviews, etc.
 - More efficient recruitment process: The airline can screen application forms and interview applicants on site.
 - A quick way to attract many applicants: Job fairs can gather a large number of job seekers in one or a few days. The airline is more likely to fill its job openings from such a huge crowd.
- Any two
2 marks each
- (b) Monetary reward 1 mark
- Advantage of monetary reward:
- Attract talent
 - Motivate employees effectively
 - Help maintain employees' standard of living
- Any one
1 mark
- (c) Perishability 1 mark
- Perishability means that services cannot be stored for later sale and use. 1 mark
- (d) (i) Reasons:
- Long-term financing is normally costlier than short-term financing, e.g., the interest rate on short-term bank loans is usually lower than that on long-term bank loans. If Pearl Airlines uses long-term financing, it may have to pay greater financing costs.
 - Long-term financing is less flexible than short-term financing. Since Pearl Airlines expects the demand for air travel to increase in a short period of time, it may use the proceeds from ticket sales to settle the cost of short-term debt. On the other hand, if Pearl Airlines uses long-term financing, it still has to pay the financing costs for the funds even if it no longer needs them after the cash shortfall is dealt with.
- 2 marks
2 marks
- (ii) Methods that Pearl Airlines may use to finance its cash deficit:
- Overdraft
 - Short-term bank loan
 - Commercial paper
 - Factoring
- Any two
1 mark each
- (e) The basic goal of cash management is to keep adequate cash on hand for business operations while maintaining the amount of idle cash so that the cost of holding cash is minimised. 2 marks